

you include replacing the money lost to inflation, you need maybe twice that much. At least.

But private businesses typically sell for multiples of only 4 to 10 times earnings. Or less. So a business that produces \$100,000 worth of dividend income might be worth only \$500,000 or \$1 million.

However, a family business worth \$4 million might produce \$400,000 in dividend earnings (profits).

But that's just the beginning. Because the owners of the business control its spending, too. And its hiring. Often, two or more members of the family are employed by the business. They might easily earn \$100,000 each, paid out of the expense side of the ledger, before profits are declared. They might also each have a company car. Even a company apartment. And a company credit card for business expenses and business entertaining.

The IRS has rules about these things. Readers are urged to scrupulously follow the rules. Dot every "I" and cross every "T." But in our experience, business owners often have considerable flexibility about how money is spent and frequently enjoy "perks" from before-tax income. Just providing an office is more than a trivial matter. If you had to do it for yourself—with assistants, copiers, computers, and so forth—it could easily cost you \$100,000.

All together, a family might take out as much as \$700,000 or so annually from a \$4 million business, whereas a \$4 million investment in the stock market would produce only \$100,000 in dividend income.

HOW TO BUILD A FAMILY BUSINESS

The way to begin is simply to begin. But it's tempting to not begin at all. It's much easier to get a job. Let someone else do the thinking; you just do what you are told to do.

That's why people don't build fortunes working for the post office. In fact, they don't make fortunes by working for anyone. They build fortunes by operating a business—even if it is a business within a business, a form of